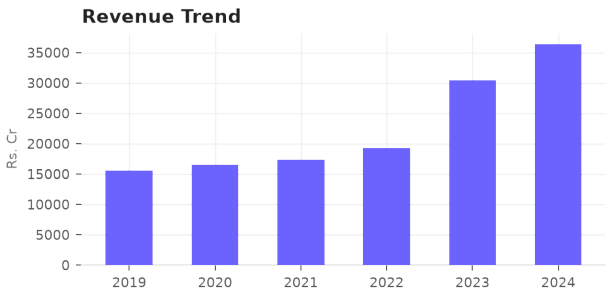
Shriram Finance Ltd

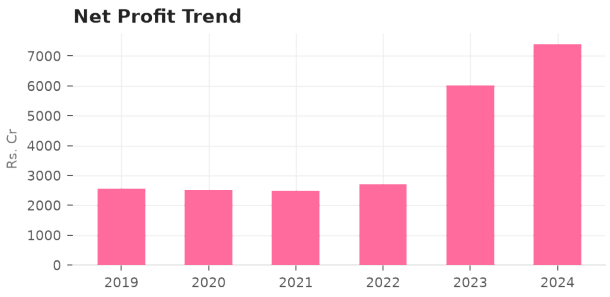
SHRIRAMFIN | Financials - Consumer Finance | Large Cap

15.1%	11.3%	3.99x	68.5x	1.9%	25/100
ROE	ROCE	Debt/Equity	P/E	Div. Yield	Quality Score

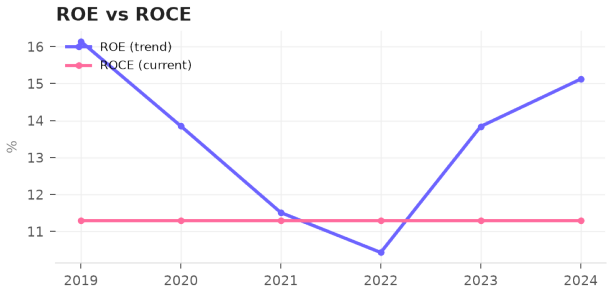
CAPITAL ALLOCATION: NOT AVAILABLE

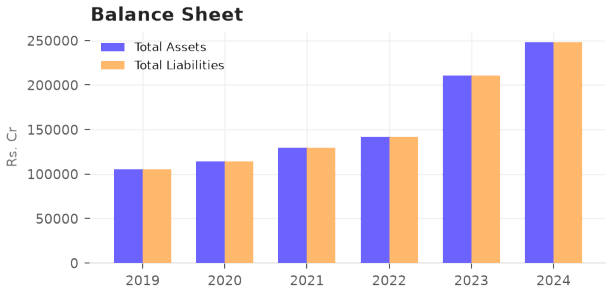
Insufficient cash flow history to classify this company.

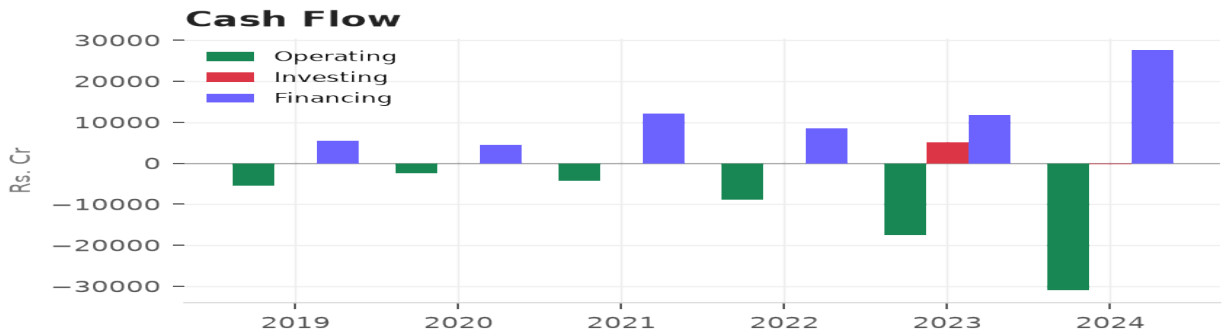




Shriram Finance Ltd - Financial Trends







Pros

+ Company runs an asset-light business with low capital expenditure needs. (90% confidence)
+ Company maintains a strong operating margin of 28.9%. (74% confidence)
+ Company has delivered strong profit growth of 16.8% CAGR over the last 5 years. (70% confidence)
+ Company has delivered strong sales growth of 15.6% CAGR over the last 5 years. (68% confidence)
+ Company has grown earnings per share at 12.6% CAGR over the last 5 years. (61% confidence)
+ Company has a strong return on equity of 15.1%. (60% confidence)

Cons

- Company carries a high debt-to-equity ratio of 3.99. (98% confidence)
- Company's cash generation lags reported profits (CFO/PAT of -3.29x), an accrual risk. (98% confidence)
- Company has a low interest coverage ratio of 0.68x. (85% confidence)
- Company's cash flow pattern (Growth Funded by Debt) signals capital allocation stress. (80% confidence)
- Company scores poorly on the composite quality framework (25/100). (79% confidence)
- Company reported negative free cash flow in the latest year. (75% confidence)